

MARKET PERSPECTIVES

ACQUAEQUITY

SEC REPORTING WAIVER ?

SEC Reporting Waiver ?

Turning Off the Lights: Evaluating the SEC's Semi- Annual Reporting Proposal

A systemic risk assessment of the proposed shift from Form 10-Q to Form 10-S and its impact on market transparency.

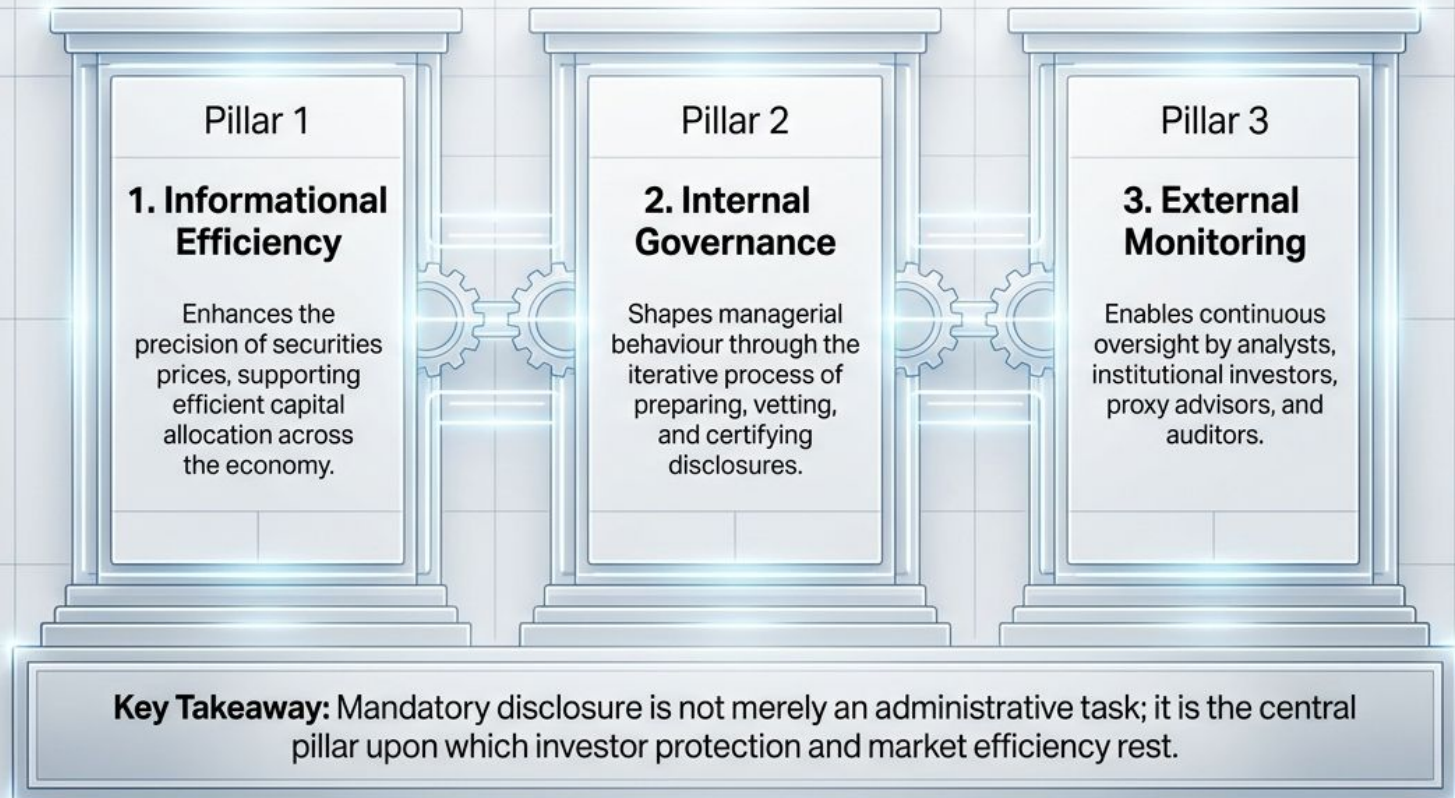
Subject: SEC File No. S7-2026-15

Reviewing Body: Investor Advisory Committee (IAC)

A collaborative Acquaequity and NotebookLM assessment following a review of differentiated published expert opinion.

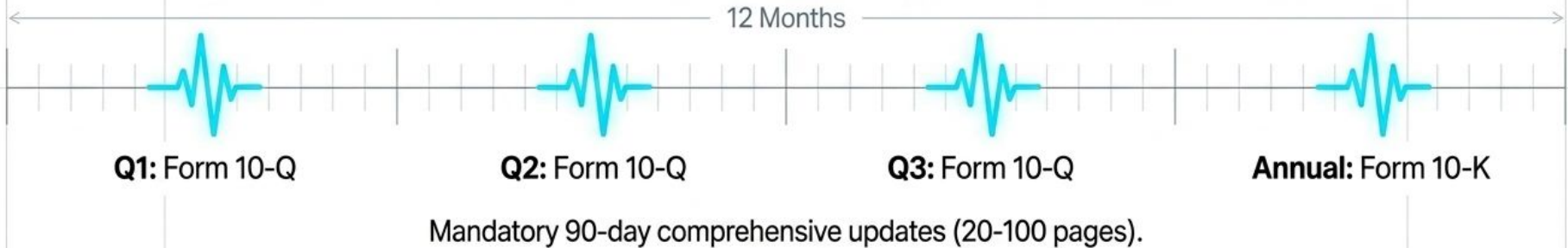
The original IAC primer at,
<https://www.sec.gov/files/draft-recommendation-iaosubcommittee-quarterly-semi-annual-reporting-052026.pdf>

The Bedrock of US Capital Allocation



The Mechanics of the Upcoming SEC Shakeup

Current State - The 90-Day Pulse



Proposed State - The 6-Month Blackout



The SEC's Policy Rationale for Waiving the 10-Q



Combating Short-Termism

Relieves executives from the relentless 90-day earnings cycle.

Diverts management's attention back to long-term global market opportunities and strategic growth rather than merely hitting Wall Street's immediate expectations.



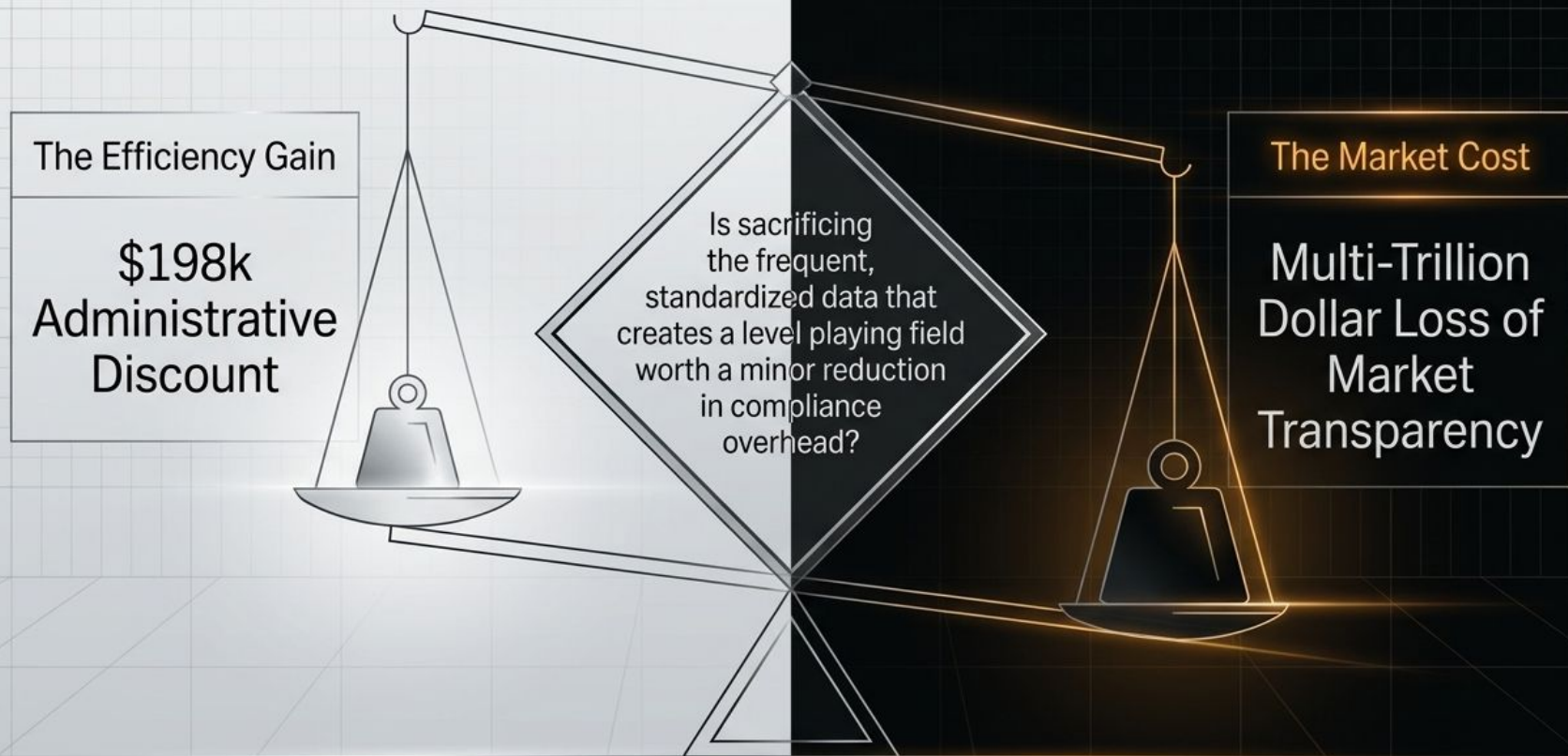
Cost Efficiency & Capital Formation

Targeted reduction in direct compliance costs. The objective is to lower the

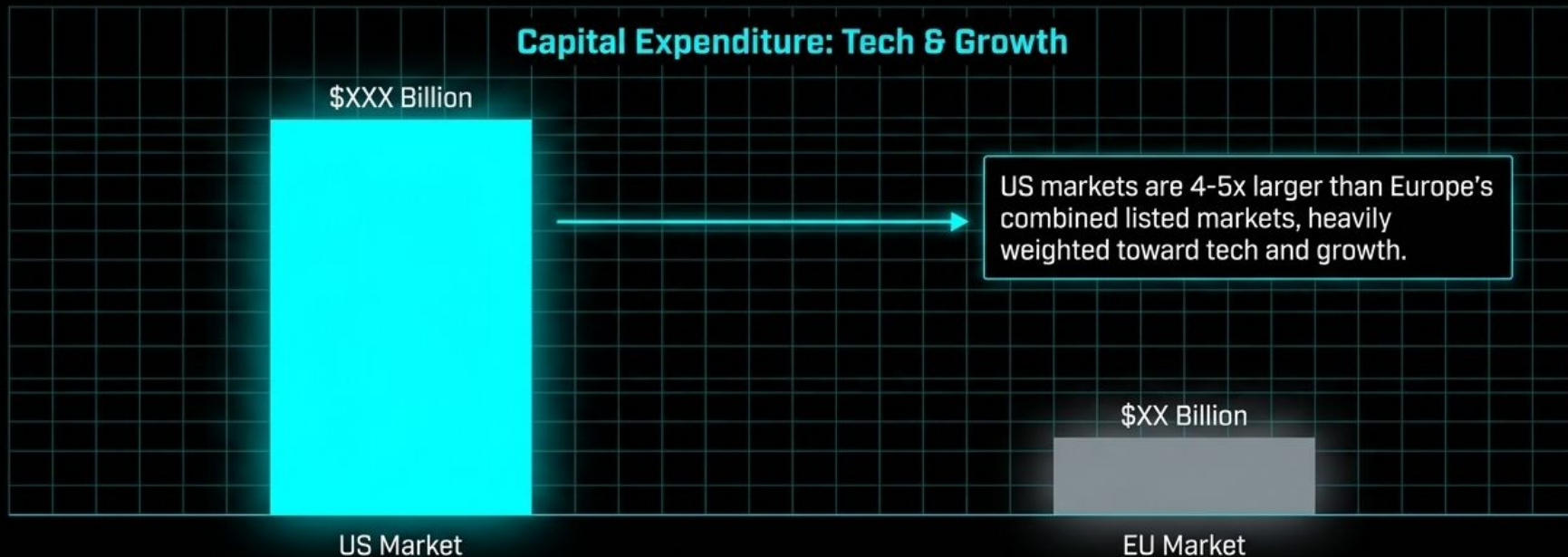
administrative burden to encourage more private companies to go public, expanding global investment opportunities.

**Estimated Savings: \$198,000
per issuer, per year.**

The Fundamental Risk Assessment



The Short-Termism Myth: US Capital Investment is at Historic Highs



Long-Term Infrastructure Investment

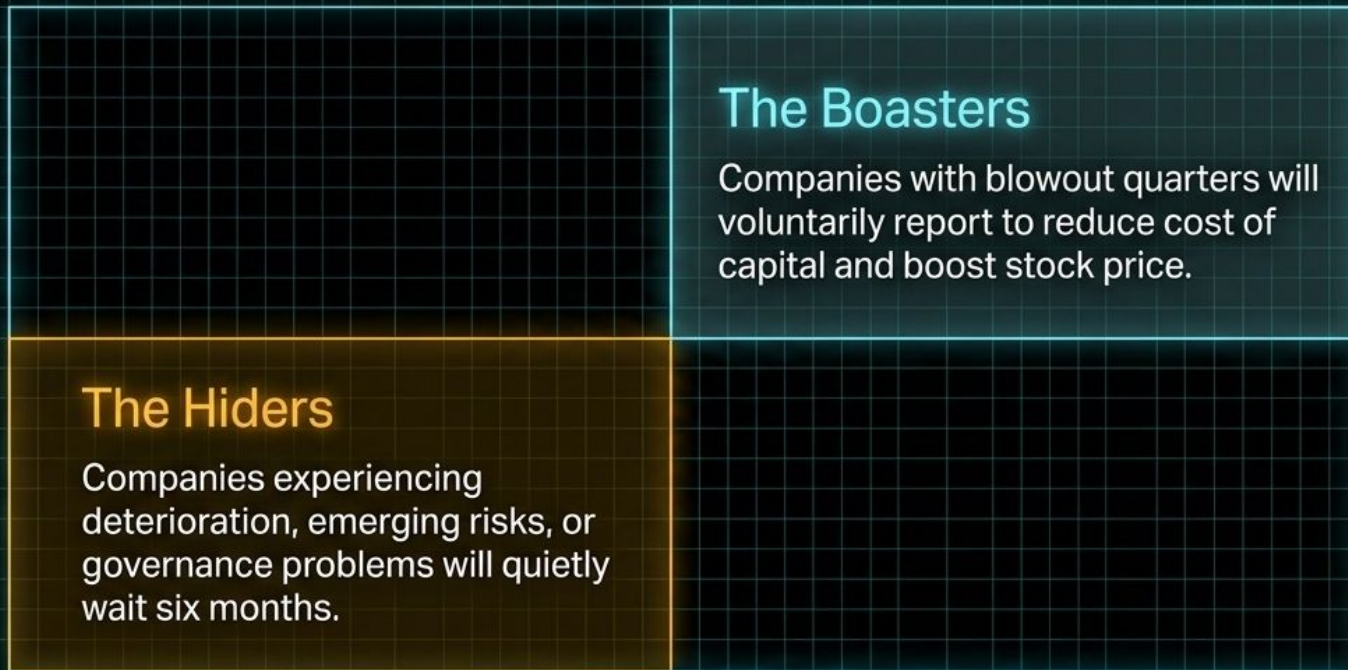
Despite the intense pressure of mandatory 90-day reporting, US public companies are pouring unprecedented capital into long-term infrastructure (e.g., Artificial Intelligence).

Widening Gap

The IAC notes that the gap in growth, profitability, and future expectations between US-listed companies and other developed markets has only widened.

The Flaw of Voluntary Reporting: Adverse Selection

Y-Axis: Company Performance (Low to High)



X-Axis: Disclosure Choice (Hide Behind 6-Month Rule to Opt-In to Quarterly)

For investors, the absence of a voluntary report becomes a total guessing game, making it nearly impossible to distinguish high-quality firms from low-quality ones.

Cascading Market Risks

Information Asymmetry Spikes

Less frequent, non-standardised reporting strips active investors of timely material data.

Liquidity & Valuation Erraticism

Trading costs increase and market liquidity drops. Investors rely on peer-firm signals, leading to overreactions and severe mispricing.

Stalled Capital Formation

Ironically defeating the SEC's goal, delayed positive reporting prevents growing firms from leveraging a blowout quarter to raise external financing at lower capital costs.

Widening the Insider Trading Window

Current Mandatory 10-Q



Rapid public price discovery limits the lifespan of non-public material information.

Proposed 10-S



The 6-Month Runway

Extending the interval between mandatory reports dramatically widens the gap between inside knowledge and public awareness. Insiders gain a dangerously long window to act on, and profit from, non-public data before the market catches on.

Global Evidence: The EU & UK Case Study

Both the UK and the EU previously shifted to voluntary quarterly reporting mandates.
The empirical data tells a clear story.

IPO Boom / Valuations



No significant improvement in valuations or capital raising.

Earnings Surprises



Significant increase in unwelcome, volatile earnings shocks.

Stock Volatility



Increased erratic pricing between mandatory periods.

Analyst Coverage



Noticeable reduction in external monitoring and coverage.

The Reality of Voluntary Adoption

10%

Today, only 10% of the largest UK public companies by market cap voluntarily report on a quarterly basis.

In the EU, approximately 40% of large public companies have gone dark (only 60% report voluntarily).

 **The Warning:** For smaller cap companies across these jurisdictions, quarterly reporting is practically non-existent. The U.S. market would likely follow suit.

The Informational Divide: Institutions vs. Retail

**The Public Market
Goes Dark for 6
Months**

Action: Purchase
expensive alternative
data sets.

Examples: Satellite imagery
of parking lots, raw credit
card transaction data, direct
management access.

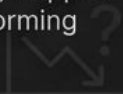


**Institutions buy
their way out of
the dark.**

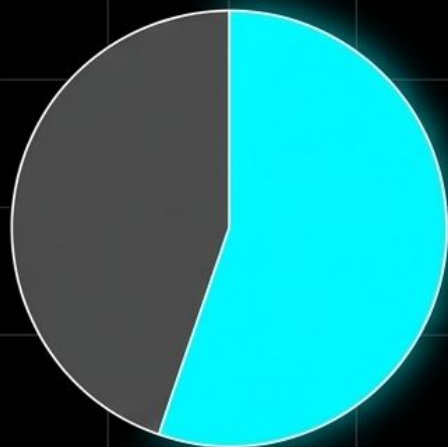
Action:
Rely exclusively on
public SEC filings.



Everyday investors
are left completely in
the shadows, trapped in
underperforming
stocks.



The Hidden Threat to Passive Investing

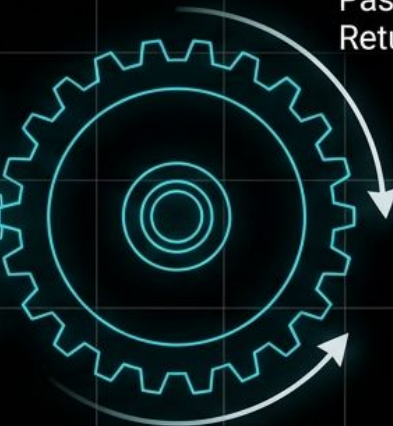


55% of the US
Fund Market is
Passive (2025).

Active Traders
using 10-Q data



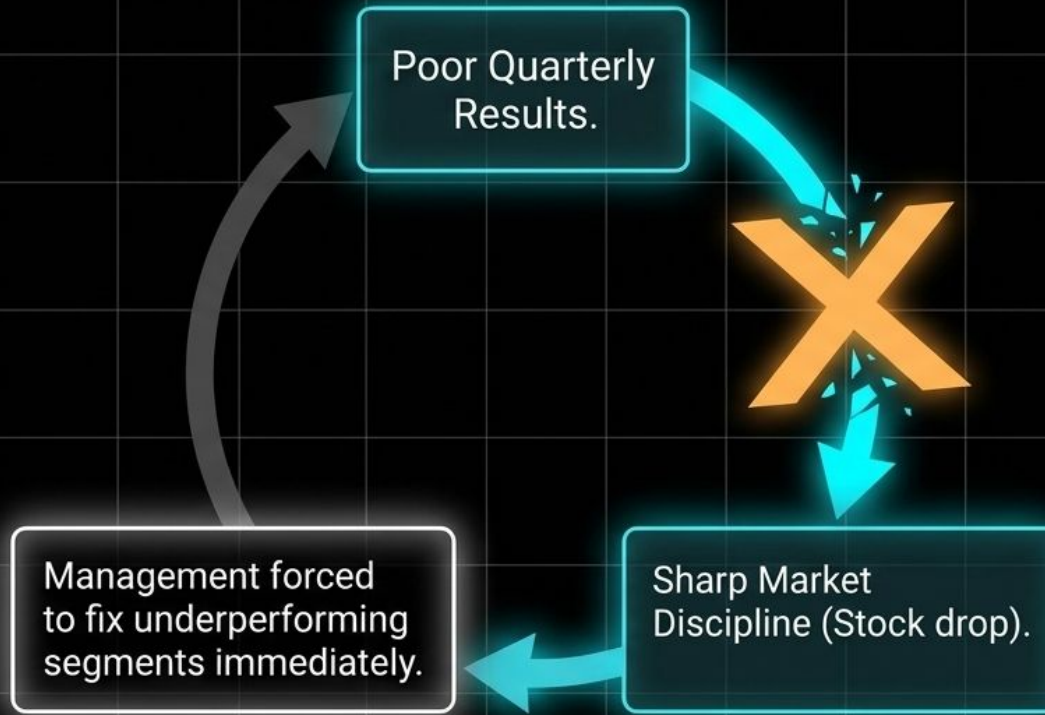
Passive Index
Returns



Millions of retail retirement accounts rely on passive index funds. However, the success of passive investing relies entirely on active investors continuously incorporating timely, material information into market prices.

Remove the quarterly data, and you actively damage the pricing efficiency that 55% of the market completely relies upon.

Corporate Accountability at Risk



Quarterly reporting operates as an **external enforcement mechanism**.

Removing this **sharp market discipline** allows **poor management decisions, sluggish performance, and emerging risks to fester behind closed doors for half a year.**

The Final Verdict: Maintain the Form 10-Q

SEC Policy	Market Reality
Goal - SEC - Combat Short-Termism.	Reality - US tech/AI investments are currently at historic highs.
Benefit - SEC - Save \$198k per issuer.	Reality - Negligible compared to capital raising benefits.
Outcome - SEC - Streamlined market.	Reality - Opaque, fragmented market heavily favouring institutional insiders.

The IAC Official Recommendation: The multi-trillion dollar risk to market efficiency, liquidity, and retail investor protection far outweighs a \$198k compliance discount. The SEC must retain mandatory quarterly reporting.

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